STATE OF WASHINGTON
DEPARTMENT OF HEALTH
SECRETARY OF HEALTH

In the Matter of **DAYBREAK YOUTH SERVICES – SPOKANE** License No. BHA.FS.60873305 Respondent	**No. M2022-552** **NOTICE OF INTENT TO SUSPEND**

Pursuant to RCW 43.70.115, the Executive Director of the Department of Health (Department), Behavioral Health Agencies Program (Program), on designation by the Secretary, having authority to regulate Behavioral Health Agencies (BHAs) under chapters 71.05, 71.24, and 71.34 RCW, and chapter 246-341 WAC, hereby provides Notice of Intent to Suspend License No. BHA.FS.60873305 and all certifications associated with License No. BHA.FS.60873305. This Notice will take effect and become a Final Order, without further notice, twenty-eight (28) days after receipt, absent a timely request for an adjudicative proceeding. This Notice is based on the following findings of fact and conclusions of law.

1. FINDINGS OF FACT

1.1 The Program is a sub-unit of the Department with authority to license and regulate BHAs. The Program's authority to license and regulate BHAs is found at RCWs 71.05, 71.24, and 71.34, and WAC 246-341, and includes authority to examine any part of the BHA at reasonable times and as needed; review and evaluate the BHA's records, including clients' clinical records and staff personnel files; review the BHA's policies, procedures, fiscal records, and other documents; and to interview staff members and individuals receiving services. RCW 71.24.037 (3) and (11), WAC 246-341-0605 (3) (a) – (c).

1.2 On June 28, 1984, the State of Washington issued Daybreak Youth Services – Spokane, located at 628 S Cowley St., Spokane, WA 99202 (Daybreak-Spokane), license no. BHA.FS.60873305 to operate as a BHA. Daybreak-Spokane's BHA license is currently active.

1.3 Daybreak-Spokane is a non-profit BHA currently licensed and certified to provide a number of inpatient and outpatient services. In addition to being required to

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comply with state licensing laws, Daybreak must also comply with 42 USC § 290dd-2 and 42 CFR Part 2 (Part 2).

1.4 Part 2 is a federal law that protects the confidentiality of substance use disorder (SUD) records and information in the possession of Part 2 covered programs, such as Daybreak-Spokane, and in the possession of other lawful holders. In general, Part 2 prohibits Part 2 covered programs from disclosing Part 2 covered records and information without patient consent. However, Part 2 permits Part 2 covered programs to disclose Part 2 covered records and information to state agencies "authorized by law to regulate the activities of the Part 2 program." 42 CFR § 2.53 (b)(2)(i). The Program is authorized by law to regulate the activities of Daybreak-Spokane. Daybreak-Spokane is therefore permitted to allow the Program to review, copy, remove, download, or forward patient records so long as the Program agrees in writing to comply with the conditions outlined in 42 CFR § 2.53(b)(1).

1.5 On or about February 10, 2022, the Program assigned an investigation of Daybreak-Spokane to Program Investigator Deborah (Deb) Duke (Investigator Duke). The investigation (case no. 2022-1233) was based on a report from Department of Children, Youth and Families Child Protective Services (DCYF/CPS) regarding concerns of serious staff-to-client boundary violations by a staff person at Daybreak–Spokane, Staff Member A. In March 2022, the Program received a second complaint from the Spokane Police Department regarding the same staff-to-patient boundary violations, and a second investigation (case no. 2022-4048) was subsequently assigned to Investigator Duke in response to it. As part of its investigations, the Program informed Daybreak-Spokane in writing that the Program would comply with the conditions in 42 CFR § 2.53(b)(1) to protect Part 2 covered records and information obtained from Daybreak.

1.6 Staff Member A was hired by Daybreak-Spokane as a skills coach in November 2021. Staff Member A's duties included daily contact with minor female patients at Daybreak-Spokane.

1.7 During employment at Daybreak-Spokane, Staff Member A allegedly engaged in inappropriate contact and boundary violations with minor female clients. The conduct started on or around Staff Member A's start date with Daybreak-Spokane, and included, but was not limited to:

A. A visit to Daybreak-Spokane on or about December 8, 2021 to "hang with the girls," i.e., minor clients at Daybreak-Spokane, on Staff Member A's day off. This visit resulted in counseling by Daybreak-Spokane.

B. A grievance filed by Client A on December 29, 2021 with Daybreak-Spokane detailing Staff Member A hugging Client A and using "prison sign language" to say he loved her.

C. A report on or about January 19, 2022 that Staff Member A engaged with Client B via Staff Member A's personal social media account.

D. Asking clients for hugs and talking to them about their bodies. When rebuffed by a client who did not want to be hugged, Staff Member A became confrontational.

E. Sharing lunch trays with clients.

F. Telling clients that grievances had been filed against him by clients.

G. Telling a client that an implant in her arm was "disgusting."

H. "Slut-shaming" clients by commenting about their clothing choices.

1.8 In response to clients' grievances regarding Staff Member A's alleged misconduct, Staff Member A allegedly engaged in retaliation and bullying against minor female clients.

1.9 Following reports of Staff Member A's alleged behavior and concerns with the quality of care and/or management and oversight at Daybreak-Spokane, the Idaho Department of Health and Welfare suspended all referrals to Daybreak.

1.10 On information and belief, on or about January 19, 2022, Daybreak-Spokane initiated an internal investigation regarding Staff Member A's alleged misconduct. Though this internal investigation showed a concerning pattern of misconduct, the conclusion of the investigation was that Staff Member A had not violated Daybreak-Spokane's code of ethics. Staff Member A remained employed by Daybreak-Spokane and had continued access to minor clients.

1.11 Daybreak did not report any of the above complaints or concerns, or subsequent complaints and concerns, regarding Staff Member A to the Program.

1.12 The Program conducted its first on-site investigative visit to Daybreak-Spokane on or about March 8-9, 2022. Daybreak-Spokane was cooperative

during this visit and provided the Program access to Staff Member A's training records and improvement plan. The Program conducted a second on-site investigative visit to Daybreak-Spokane on or about April 11-12, 2022, during which the Program interviewed Staff Member A. Daybreak-Spokane was cooperative during this investigative visit, as well.

1.13 On or about May 9, 2022, the Program met virtually with members of Daybreak's management team to discuss the next steps in the Program's investigations. During this meeting, the Program requested access to, or copies of, the complete client records for specified clients; access to all grievances filed against Staff Member A; all supervision notes related to Staff Member A; and assistance with scheduling additional Daybreak-Spokane staff interviews. At this meeting, Investigator Duke probed Daybreak-Spokane on why client and staff complaints about Staff Member A were not reported to the Program.

1.14 Between May 9 and May 24, 2022, Daybreak-Spokane did not provide the Program with the information the Program requested during the May 9, 2022 meeting. Additionally, Daybreak-Spokane did not facilitate staff interviews or client interviews. As a result of Daybreak-Spokane's non-responsiveness to the Program's investigative requests, on or about May 24-25, 2022, Program investigators went on-site to Daybreak-Spokane to continue to investigate Daybreak-Spokane's responses to the alleged misconduct by Staff Member A and any related, alleged staff misconduct.

1.15 During prior investigations predating the Program's investigations arising out of the allegations about Staff Member A, Daybreak-Spokane had provided Program investigators with access to, or copies of, complete client records. During the May 24-25, 2022 investigative visit, Daybreak-Spokane allowed the Program to review parts of three clients' records, but Daybreak refused Program investigators access to the complete client records. Program also requested copies of all grievances or complaints regarding Staff Member A, and received only one in response to this request. Program investigators left the facility due to a lack of cooperation by Daybreak-Spokane, which prevented access to evidence requested in the investigation.

1.16 On or about May 26, May 27, June 2, and June 22, 2022, Daybreak-Spokane, through counsel, stated that it intended to cooperate with the Program's investigation. However, the stated intent to cooperate came with caveats.

The communications indicated that Daybreak-Spokane questioned the scope of the Program's investigation and how the Program's request for access to records and information was compatible with Part 2.

1.17 The Program directly addressed Daybreak-Spokane's questions regarding the Program's investigations. On July 7, 2022, the Program sent Thomas (Tom) Russell, Daybreak CEO, an investigative request letter, outlining the purpose of the Program's investigation; the scope of the Program's investigation; the information to which the Program required access in order to conduct its investigation; and the Program's legal authority to conduct the investigation. In this letter, the Program, in writing, again reiterated its commitment to abide by Part 2, specifically listing the conditions identified at 42 CFR § 2.53(b)(1). The letter informed Daybreak the Program would be re-initiating its investigation on July 13, 2022.

1.18 On July 13, 2022, Investigator Duke emailed Daybreak CEO Mr. Russell and Daybreak employee Sandra Skok, notifying them the Program was continuing the investigation of cases regarding allegations of inappropriate staff behaviors at Daybreak-Spokane. Investigator Duke requested the following information, which was needed to move the investigation forward:

- Copies of all complaints and grievances regarding any allegations of inappropriate staff behaviors, including any behaviors that made clients feel uncomfortable, from July 1, 2021 to the present.
- A staff list with job titles and scheduling information, such as shifts and days each person works. Investigator Duke noted the Program intended to be on-site for staff interviews.
- The entire client records for five, specifically identified clients.

1.19 On July 14, 2022, Daybreak, through counsel, responded to the Program's July 13, 2022 email. Daybreak agreed to provide the Program's investigators access to 280 pages of documents and access to a "small number of employees necessary for DOH to conduct the review" described in the Department's July 7, 2022 letter. However, Daybreak objected to parts of Investigator Duke's investigative request, arguing it was overly broad. Moreover, Daybreak declined to provide Investigator Duke all of the client records requested, arguing the request was inconsistent with Part 2.

1.20 On July 18, 2022, Program investigators arrived at Daybreak-Spokane to continue their investigation on-site. The Program's on-site investigation plan was to obtain and/or review client records, interview staff, and interview clients receiving services at Daybreak-Spokane on July 18 and 19. The Program's investigative plan was within the scope of its investigative authority and did not conflict with Part 2.

1.21 On July 18, 2022, the Program met with Daybreak-Spokane to attempt to obtain the information and records it needed. The same day, Daybreak CEO Mr. Russell emailed Investigator Duke to document a conversation they had regarding the investigation. The email indicated the Program and Daybreak agreed about the scope of the investigation, and Daybreak would provide the Program with the client records the Program requested and would arrange staff interviews. However, Mr. Russell stated the Department could not interview clients without receiving their written consent, and suggested the Program's and Daybreak's attorneys discuss the contents of a written consent.

1.22 On July 18, 2022, the Program interviewed Director of Nursing Becky Pulito, Mental Health Therapist Samantha Brown, and Admissions Manager Amanda Kerr. Daybreak CFO Richard Reathaford and Daybreak Talent Acquisition Specialist Sachelle McKenna attended the interviews. During the interviews, Mr. Reathaford interjected, attempted to control the scope of the questioning, answered for an interviewee, and would not allow interviewees to respond to questions he believed were, in his words, "he-said, she-said" questions. Moreover, the Program did not receive any of the client records it requested and were not allowed to interview clients, purportedly because of Part 2 restrictions.

1.23 On July 19, 2022, Program investigators arrived at Daybreak-Spokane at 6:15 AM. The Program's plan for the day was to conduct staff interviews, interview clients, and review or obtain client records. The Program's July 19 investigation unfolded as follows:

1.23.1 The Program first attempted to interview Team Leader Nyneave Beach, with Mr. Reathaford and Ms. McKenna present. Shortly after the Program began its interview, Mr. Reathaford interrupted, directing Nyneave Beach to only answer questions related to policies, procedures, and processes. Ms. Beach appeared confused, and stated that she couldn't answer the questions

without using "he-said, she said" information. Ms. Beach proceeded to answer questions about select Daybreak processes and the interview concluded, but Ms. Beach was unable to answer all of the Program's questions due to Mr. Reathaford's interference.

1.23.2 The next Daybreak staff member the Program interviewed was Skills Coach Jessica Rose. Mr. Reathaford and Ms. McKenna were present. Mr. Reathaford again interrupted the Program's interview, arguing the scope of the interview was limited to discussing policies and procedures only, which truncated the interview.

1.23.3 The Program next attempted to interview Skills Coach Joseph Avila. Mr. Reathaford and Ms. McKenna were present. The Program asked Mr. Avila a question about staff-to-patient interactions that could make a client feel uncomfortable. At this question, Mr. Reathaford interrupted and became confrontational with the Program. Mr. Reathaford argued that Mr. Avila could not answer the question because it called for speculation, asking how would Daybreak staff know what made a client uncomfortable. Mr. Reathaford also argued the questions were outside the scope of the investigation. Mr. Reathaford instructed Mr. Avila to answer questions only about policies and procedures, again making a thorough interview impossible.

1.23.4 The next Daybreak staff member the Program attempted to interview was Substance Use Disorder Professional Danica Skalski. Mr. Reathaford and Ms. McKenna were present. Mr. Reathaford interrupted the interview, and directed Ms. Skalski to answer questions about policies and procedures only.

1.23.5 After the interview with Ms. Skalski, Investigator Duke spoke to Mr. Reathaford about his conduct during the interviews. Investigator Duke informed Mr. Reathaford that his ongoing interference with and interruption of interviews was inappropriate, and that staff must be allowed to answer the questions asked without his interference. Mr. Reathaford stated it was his role to ensure the Program stayed within what Daybreak perceived to be the proper parameters of the investigation. Mr. Reathaford told Investigator Duke she was being misleading to Daybreak staff, and she made them feel uncomfortable.

1.23.6 At about 11:00 AM, the Program's investigative manager emailed Mr. Reathaford and instructed him to stop interfering with the Program's interviews.

1.23.7 Investigator Duke and Mr. Reathaford spoke again about Mr. Reathaford's conduct during the interviews. Investigator Duke asked him to refrain from interrupting and interfering with interviews. Mr. Reathaford responded that he was doing what he was there to do, which was to prevent the Program from exceeding Daybreak's perceived scope of the investigation. Mr. Reathaford stated he was directed to do this by Daybreak's attorney, David Smith. Investigator Duke asked Mr. Reathaford, "...to be clear, you're telling me that if you don't agree with the way things are said, you're going to say something?" Mr. Reathaford responded he would interrupt and that it was his role and obligation to do so. Mr. Reathaford stated, "I will not allow questions to deviate from policy and procedure," and for that reason he "politely re-directed staff when they were attempting to answer questions" and would continue to do so.

1.23.8 Mr. Reathaford's disruptive conduct and his promise to continue to disrupt the interviews obstructed and would continue to obstruct the flow of information. Such obstructive conduct compromised the reliability of the staff interviews. For these reasons, the Program determined that continuing staff interviews would not be fruitful.

1.23.9 The Program again requested to interview Daybreak-Spokane clients. Daybreak denied this request, citing Part 2. Daybreak-Spokane's denial of access to interview clients prevents the Program from understanding how Daybreak-Spokane staff behavior impacted client treatment and safety.

1.23.10 Daybreak-Spokane provided the Program 2450 pages of hard-copy client records prior to the Program departing the facility on July 19. However, instead of providing the complete client records as the Program had requested, Daybreak provided only the records Daybreak deemed to be within the scope of the Program's investigation.

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1.24 Daybreak-Spokane's non-cooperation with the Program's investigations and obstructive conduct during staff interviews has interfered with the Program's ability to effectively continue its investigations of Daybreak-Spokane.

2. CONCLUSIONS OF LAW

Based on the foregoing Findings of Fact, the Department makes the following Conclusions of Law:

2.1 The Secretary of Health, acting through his designee, has jurisdiction over the licensee, Daybreak, and over the subject matter of this proceeding under chapters 71.05, 71.24, and 71.34 RCW, and 246-341 WAC.

2.2 The Findings of Fact constitute violations of RCW 71.24.037, WAC 246-341-0335(1)(b) and (c), and WAC 246-341-0605(3).

2.3 The above violations demonstrate that Daybreak has failed to comply with RCW 71.24 and 246-341 WAC.

2.4 Daybreak's failure to comply with RCW 71.24 and WAC 246-341 provides grounds for the Department to deny, suspend, revoke, or place on probation Daybreak's BHA license or specific program certifications under RCW 43.70.115, chapters 71.05, 71.24, and 71.34 RCW, WAC 246-341-0335, and WAC 246-341-0605.

2.5 Daybreak's failure to comply with chapters 71.05, 71.24, 71.34 RCW, and 246-341 WAC provides grounds for the Department to assess a fee under RCW 43.70.250, WAC 246-341-0335(5), and WAC 246-341-0605(5).

2.6 Daybreak has the right to contest a Department decision to deny, suspend, revoke, or place on probation its BHA license by requesting an adjudicative proceeding within twenty-eight (28) days of receipt of the Department's decision. RCW 43.70.115 chapter 34.05 RCW, chapter 246-10 WAC, and WAC 246-341-0335.

2.7 The Secretary may indicate when and under what circumstances an order may become an effective Final Order. RCW 43.70.115(2) and RCW 34.05.461.

3. NOTICE OF SUSPENSION

Based on the above Findings of Fact and Conclusions of Law, the Secretary, through his designee, enters the following:

3.1 Daybreak's License No. BHA.FS. 60873305 and associated certifications are **SUSPENDED INDEFINITELY**. The **SUSPENSION** shall immediately be stayed for 14 days after this Notice becomes a Final Order.

3.2 Within 7-days after the Notice becomes a Final Order, Daybreak shall submit a closure plan for its BHA, which includes: Information pertaining to the patient census, case mix, and acuity of clients; explanation of plan to relocate patients to appropriate care settings that offer similar services, including resources daybreak will use to support client movement and identification of facilities who have agreed to receive patients; plan to preserve and transfer client medical records; strategy for notifying clients and their legal guardians of the license suspension and requirement to transfer patients; and an explanation of the process for managing pharmacy records and controlled substances. The closure plan shall be submitted by email to: Ian Corbridge, Director, Office of Community Health Systems, Ian.Corbridge@doh.wa.gov.

3.3 This Notice will become a **FINAL ORDER** without further notice twenty-eight (28) days from the date of receipt, absent a timely request for an adjudicative proceeding.

4. REQUEST FOR AN ADJUDICATIVE PROCEEDING

If you wish to contest the Department's decision in this matter, you or your representative must file a written request with the Department's Adjudicative Service Unit (ASU) in a manner that shows proof of the service on the ASU within **TWENTY-EIGHT (28)** days of receipt of this decision. Please use the enclosed form labeled "Application for Adjudicative Proceeding."

The mailing address is:

Department of Health
Adjudicative Service Unit
P.O. Box 47879
Olympia, WA 98504-7879

The physical address is:

Department of Health
Adjudicative Service Unit
310 Israel Road SE
Tumwater, WA 98501

A copy of the Department's decision must be attached to the Application for an Adjudicative Proceeding. **FILING SHALL NOT BE DEEMED COMPLETE UNTIL THE ASU ACTUALLY RECEIVES THE APPLICATION.**

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You or your representative's **FAILURE** to submit an Application for an Adjudicative Proceeding within **TWENTY-EIGHT (28)** days of receipt of this decision will constitute a waiver of the right to a hearing; the Department may decide this matter without you or your representative's participation and without further notice.

DATED: 8/1/ _____, 2022.

STATE OF WASHINGTON
DEPARTMENT OF HEALTH
BEHAVIORAL HEALTH AGENCY PROGRAM

Ian Corbridge
Ian Corbridge (Aug 1, 2022 10:00 PDT)

IAN CORBRIDGE
DIRECTOR
OFFICE OF COMMUNITY HEALTH SYSTEMS
BEHAVIORAL HEALTH AGENCY PROGRAM